# Conviction Call

## Fed call revised to two rate hikes in Sep and Dec: investment implications

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We revise our 2026 Fed call from no rate change to two 25bp hikes, one each in September and December. The revision reflects: 1) President Trump's recent shift in political, policy and geopolitical stance from TACO ("Trump Always Chickens Out") to a "madman strategy"; 2) a further intensification of commodity- and energy-related inflation risks following renewed Middle East uncertainty and the rebound in oil prices above $100/bbl; 3) the possibility that core PCE, which had eased to around 2.7% on a three-month annualized basis, could rise back above 3% from August, as suggested by the August core CPI and PPI data; and 4) Kevin Warsh's remarks at Jackson Hole that the Fed would raise rates if inflation failed to move clearly and sufficiently toward the 2% target (keeping rates unchanged at the current level of inflation would inevitably undermine the credibility of both the Fed and Chair Warsh).

That said, we expect the cumulative September/December 50bp hikes to mark the end of the current tightening cycle, bringing the terminal rate to 4.00-4.25%. Following the August CPI release, the market began pricing in four consecutive rate hikes (two by end-2026 and another two in 2027). However, we believe the Fed's actual policy response will be limited to one-off rate hikes intended primarily as a strong signal of its determination to contain inflation risks. Our view is based on the following: 1) The US GDP gap, which is closely correlated with changes in the Fed's policy rate, is likely to turn negative from 2027, (indicating a shift to below-trend growth); 2) Current inflationary pressure largely reflects a temporary Trump-induced supply shock, or cost-push inflation, rather than structural demand-pull inflation; 3) The ongoing deterioration in both the quality and quantity of employment, together with declining labor costs, points to a sustained disinflationary path for core and services inflation. 4) Housing-related inflation, which accounts for roughly 40% of core inflation, is likely to stabilize at a lower level; and 5) financial strains and signs of tightening credit conditions for both corporations and households have recently intensified.

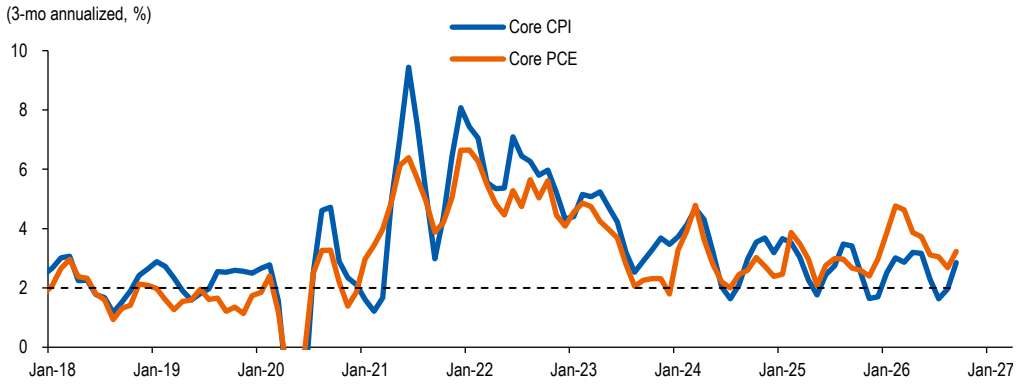
The key question is what two Fed rate hikes would imply for market interest rates and equities. The fact that the previously unpredictable Warsh-led Fed is beginning to take concrete action against inflation could help curb the continued rise in inflation expectations and the term premium. The September Summary of Economic Projections (SEP) and dot plot will be critical. If they confirm below-trend growth post-2027, core PCE converging to the 2% target, and a gradual dot plot return to the long-run neutral rate (current longer run rate forecast 3.0625%), financial markets, having already priced in a more hawkish Fed for longer, are highly likely to find significant relief from a Fed that proves less hawkish for a shorter period than feared. Furthermore, if Scott Bessent's aggressive long-term rate stabilization measures (expanding the buyback cap to $6bn from Sep 9 to 14, using TGA in long-term bond purchases) successfully offsets concerns over the Trump administration's fiscal deficit, bond vigilantes that had fully bet on rate hikes a caught in a short squeeze, triggering a peak-out in market rates as early as October.

*(Continued on the next page)*

***For analyst certification and other important disclosures, refer to the Appendix at the end of this report.***

Until a peak-out in market rates and “less/short-term hawkish” Fed are confirmed in September-October, markets in a bear-flattening market rate environment are highly likely to remain range-bound and focus on capturing selective opportunities across individual stock alternatives. With leading domestic and global AI/semiconductor value chain stocks continuing to deliver earnings growth that outweighs pressure from high interest rates (g > r), two Fed hikes are unlikely to trigger a global market dislocation. For the KOSPI, which established a historical/statistical true bottom at an MDD of -35% to -40% from two-year highs in July, a realistic target will likely be testing the MDD -20% level (7,300pt) based on downside support around an MDD of -30% (6,400pt). Portfolio strategies should therefore be focused on selecting qualitative earnings winners in a bear-flattening rate environment. Sector alternatives that: 1) have outperformed the KOSPI in US bear-flattening rate environments since 2005; 2) hold 3Q-4Q26 and full-year earnings momentum; and 3) exhibit neutral-or-better pricing power confirmed by SPS < EPS ≤ CPS are semiconductors, IT appliances (rechargeable battery), shipbuilding, energy, and steel. Expanding this screening methodology across the entire consensus-covered universe results identifies Isu Petasys, Samsung Electro-Mechanics, LG Innotek, Hyosung Heavy Industries, Daeduck Electronics, SK Hynix, Alteogen, Hanmi Semiconductor, and Samsung Electronics.

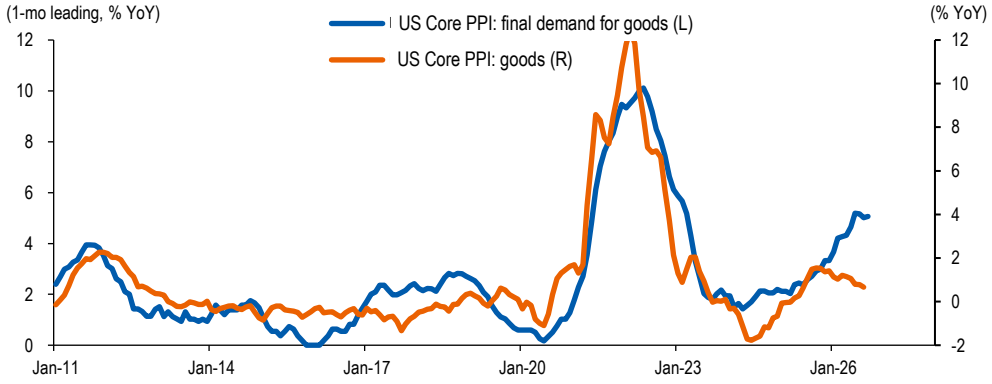
**On a three-month annualized basis, core CPI/PCE, which had approached the 2% target through July, turned higher to above 3% from August**




Note: September core CPI MoM estimate and August–September core PCE MoM estimates are based on Cleveland Fed's current Inflation Nowcasting estimates

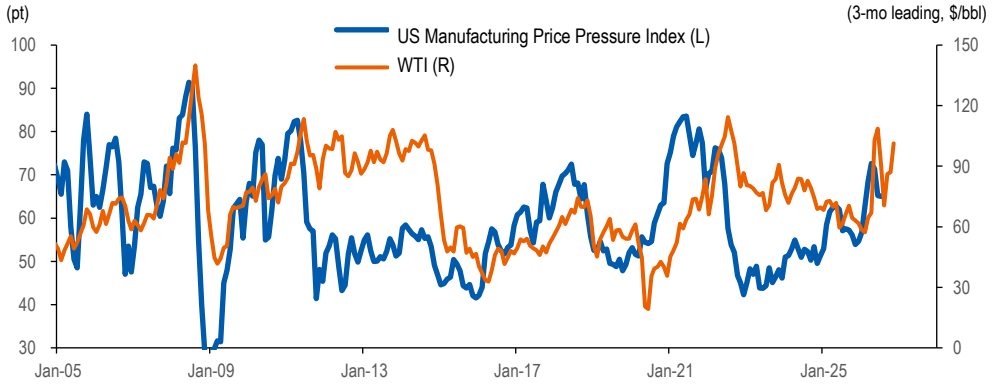
Source: LSEG Workspace, Yuanta Securities

**Core PPI final demand for goods, which leads core CPI/PCE goods inflation, rose 0.4% MoM and 5.1% YoY in August**




Source: LSEG Workspace, Yuanta Securities

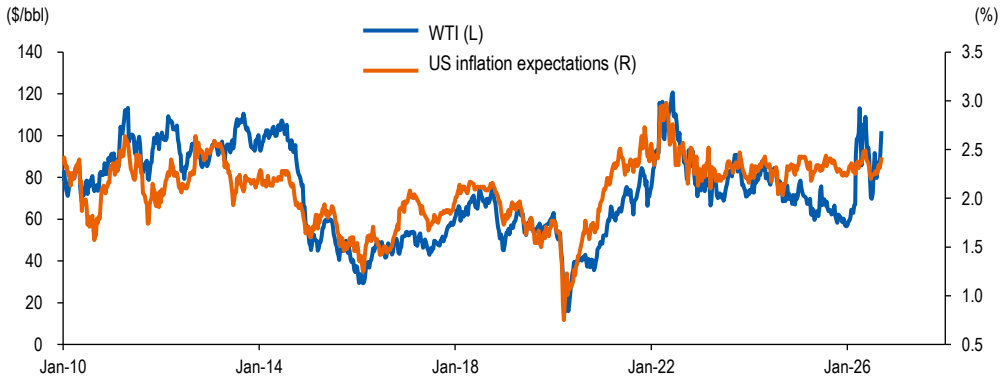
**Surge in international oil prices above $100/bbl amid renewed geopolitical risks in the Middle East could add further upward pressure on goods and energy inflation**




Note: Manufacturing Price Pressure Index is calculated as the average of the ISM Manufacturing Supplier Deliveries And Prices Paid Indices

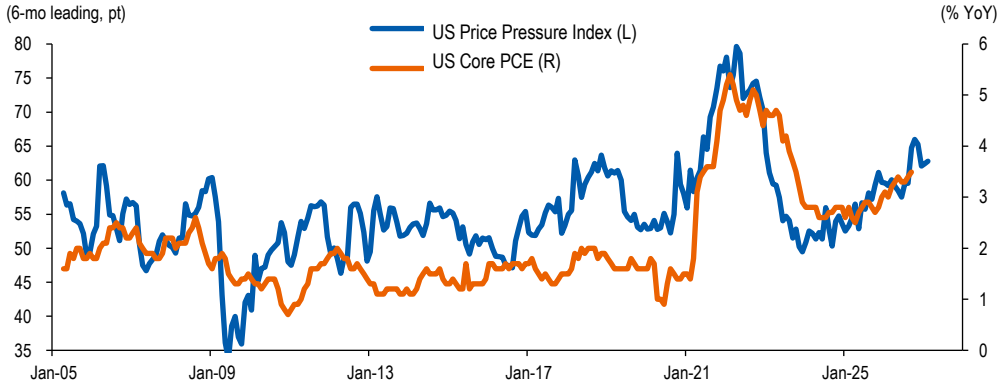
Source: LSEG Workspace, Yuanta Securities

**Surge in international oil prices above $100/bbl is likely to push inflation expectations higher after they had remained well anchored around their long-term average**



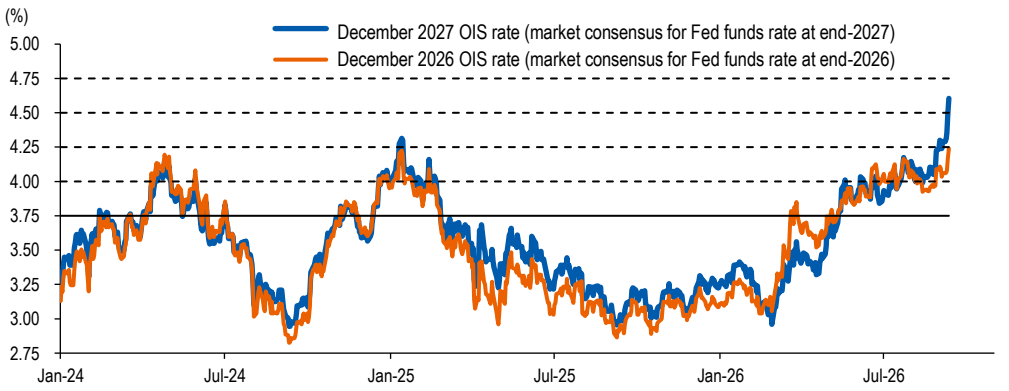

Source: LSEG Workspace, Yuanta Securities

**Price Pressure Index, which leads core PCE inflation by around six months, suggests that core PCE could rise further to around 3.5% by year-end**




Note: Price Pressure Index is calculated as a weighted average of the manufacturing price pressure index derived from the ISM Manufacturing Index (25%) and the Services Price Pressure Index derived from the ISM Services Index (75%)
Source: LSEG Workspace, Yuanta Securities

**Following August CPI/PPI releases, market began pricing in total of 100bp in rate hikes (two in 2026 and another two in 2027)**



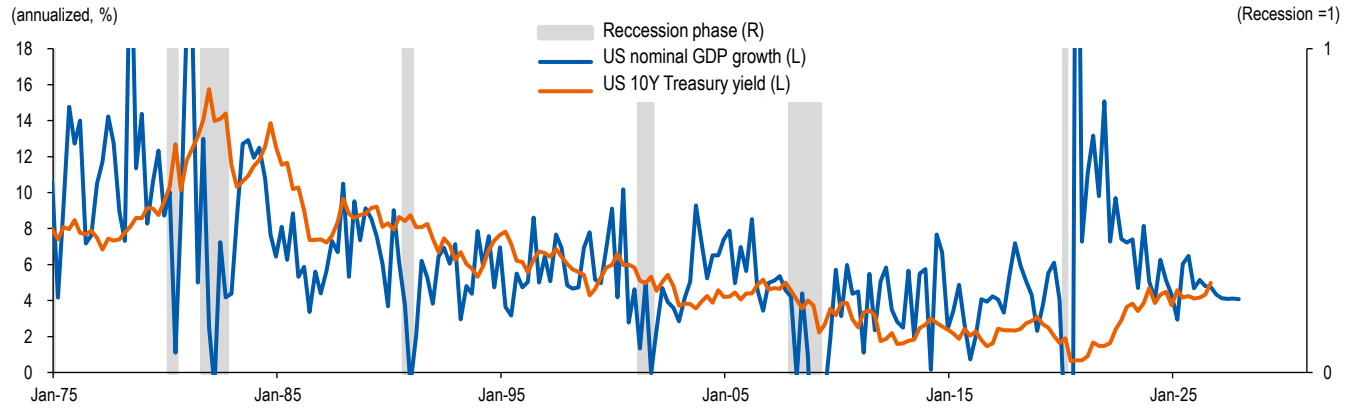

Source: LSEG Workspace, Yuanta Securities

**CME FedWatch probability of Fed rate hike by FOMC meeting (as of Sep 12): four hikes priced in for September and Dec 2026 and Mar and Jun 2027**

| | CME FEDWATCH TOOL - AGGREGATED MEETING PROBABILITIES | | | | |
|---|---|---|---|---|---|
| MEETING DATE | 350-375 | 375-400 | 400-425 | 425-450 | 450-475 |
| 2026-09-16 | 12.71% | 87.29% | 0.00% | 0.00% | 0.00% |
| 2026-10-28 | 0.00% | 64.00% | 36.00% | 0.00% | 0.00% |
| 2026-12-09 | 0.00% | 0.00% | 99.04% | 0.96% | 0.00% |
| 2027-01-27 | 0.00% | 0.00% | 60.00% | 40.00% | 0.00% |
| 2027-03-17 | 0.00% | 0.00% | 1.86% | 98.14% | 0.00% |
| 2027-04-28 | 0.00% | 0.00% | 0.00% | 74.00% | 26.00% |
| 2027-06-09 | 0.00% | 0.00% | 0.00% | 43.07% | 56.93% |
| 2027-07-28 | 0.00% | 0.00% | 0.00% | 32.00% | 68.00% |
| 2027-09-15 | 0.00% | 0.00% | 0.00% | 26.00% | 74.00% |
| 2027-10-27 | 0.00% | 0.00% | 0.00% | 26.00% | 74.00% |
| 2027-12-08 | 0.00% | 0.00% | 0.00% | 34.09% | 65.91% |

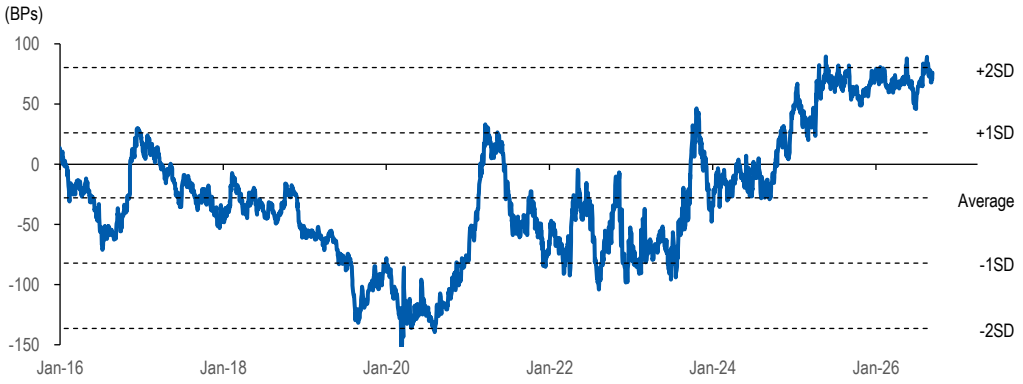
Source: CME FedWatch

**Recessions have materialized around periods when US 10-year Treasury yield exceeded nominal GDP growth, explaining why US Treasury has little choice but to take decisive action to stabilize long-term interest rates**



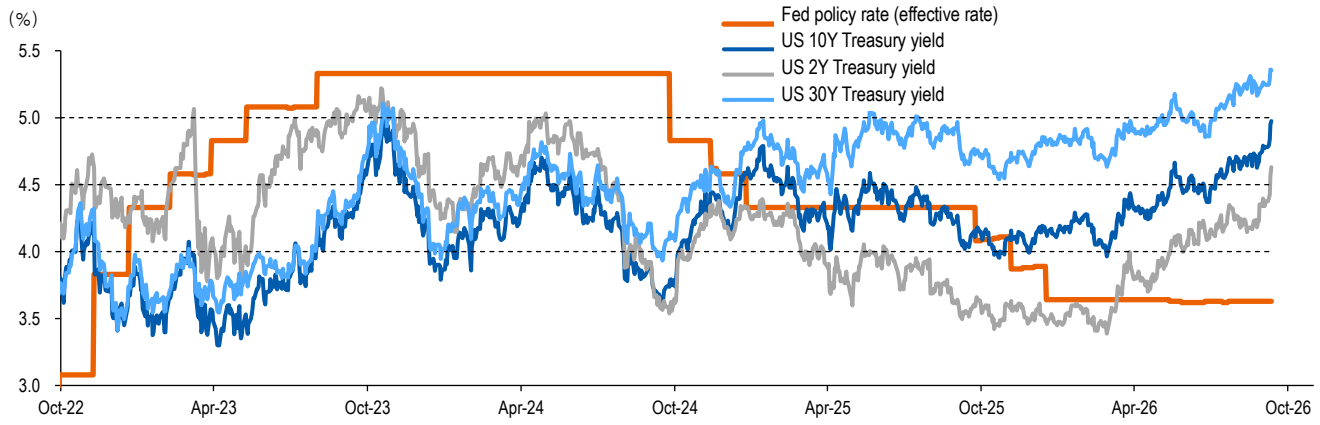

Source: LSEG Workspace, Yuanta Securities

**Concerns over widening fiscal deficits, weakening confidence in Treasury policy and heightened Fed policy uncertainty reflected in rising term premium**



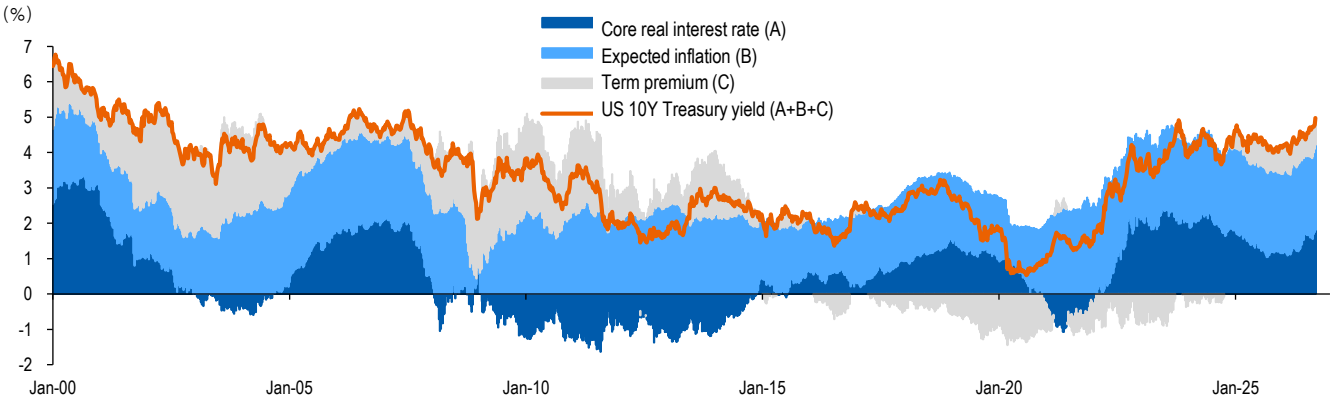

Source: LSEG Workspace, Yuanta Securities

**Fed funds rate and US Treasury yields: 2-year 4.63%, 10-year 4.98% and 30-year 5.36% as of Sep 11**



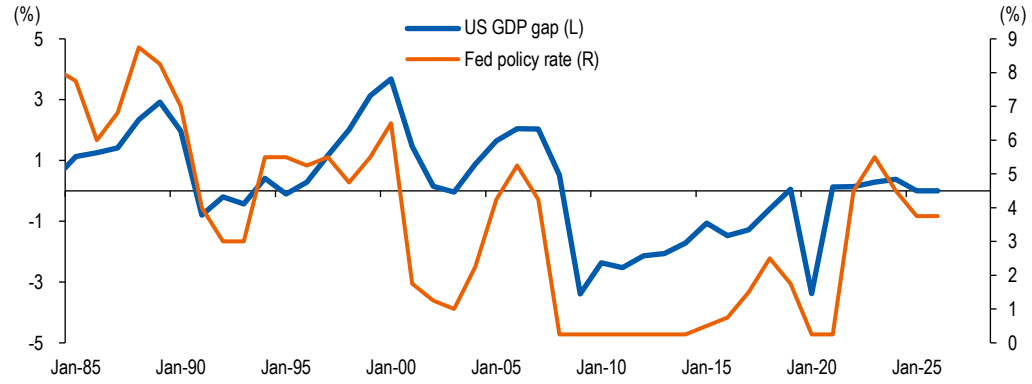

Source: LSEG Workspace, Yuanta Securities

**Breakdown of US 10-year Treasury yield as of Sep 11: nominal/market yield of 4.98% = core real rate of 1.81% + expected inflation of 2.40% + term premium of 0.76%**



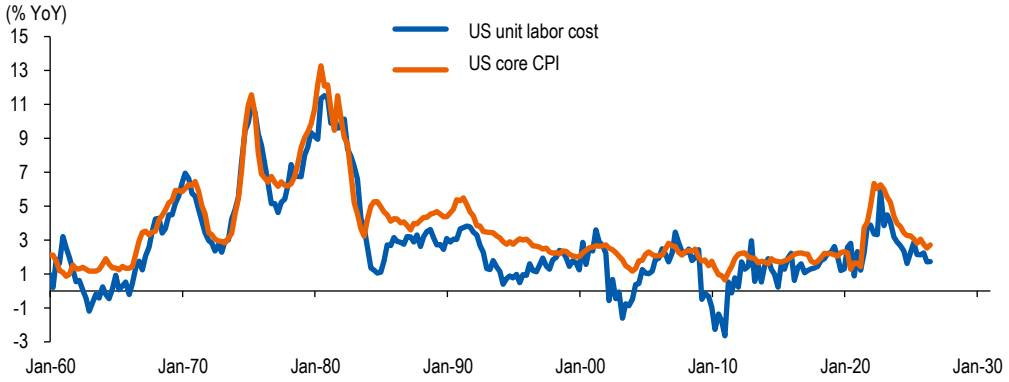

Source: LSEG Workspace, Yuanta Securities

**US GDP gap likely to turn negative post-2026, likelihood of sustained Fed rate hike cycle limited in negative output gap territory**



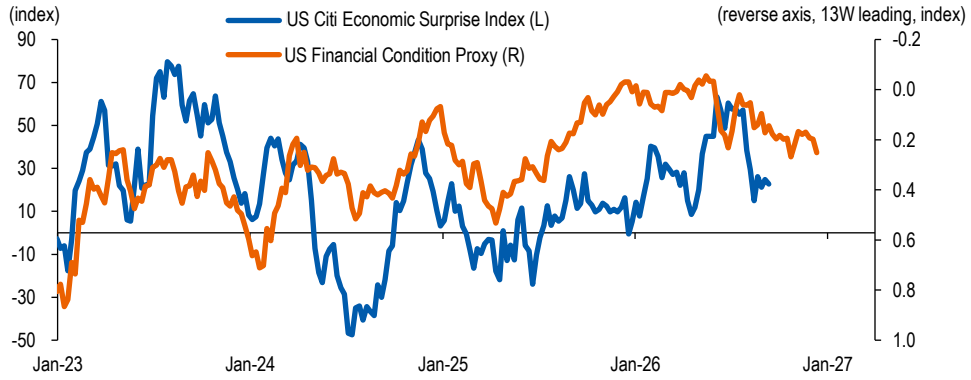

Source: LSEG Workspace (IMF), Yuanta Securities

**Qualitative/quantitative softening in labor market and flexible downward stabilization of labor costs to be reflected in disinflation trend of core/service inflation**



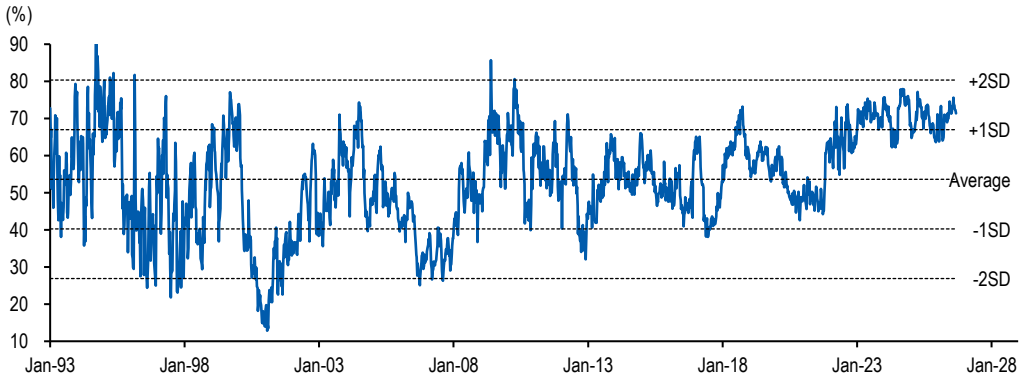

Source: LSEG Workspace, Yuanta Securities

**Tight financial/monetary conditions before Fed rate hikes highly likely to restrict future real economic momentum**




Note: Financial Condition Proxy calculated by standardizing the US 10-year Treasury yield, high-yield corporate bond yield, and US Dollar Index, Source: LSEG Workspace, Yuanta Securities

**Short positions account for 71.4% of speculative US 10-year Treasury futures trading, nearing statistical upper bound threshold**



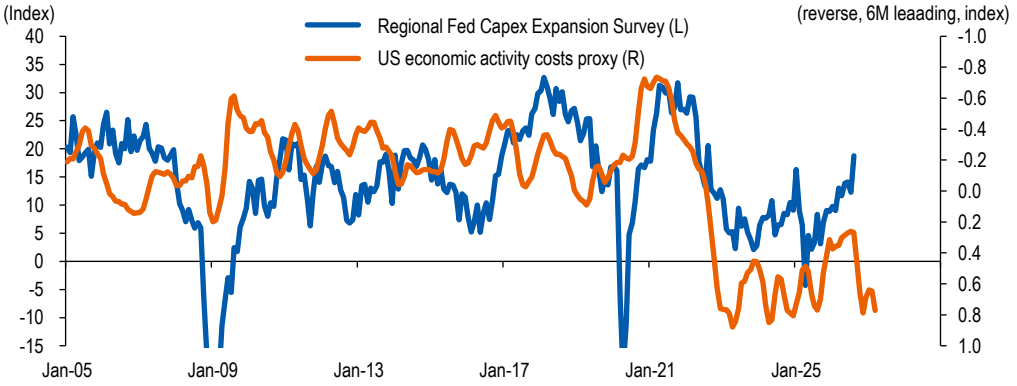

Source: Bloomberg, Yuanta Securities

**Corporate profit growth outpaces high inflation/aggressive tightening/high rates across domestic/overseas markets**



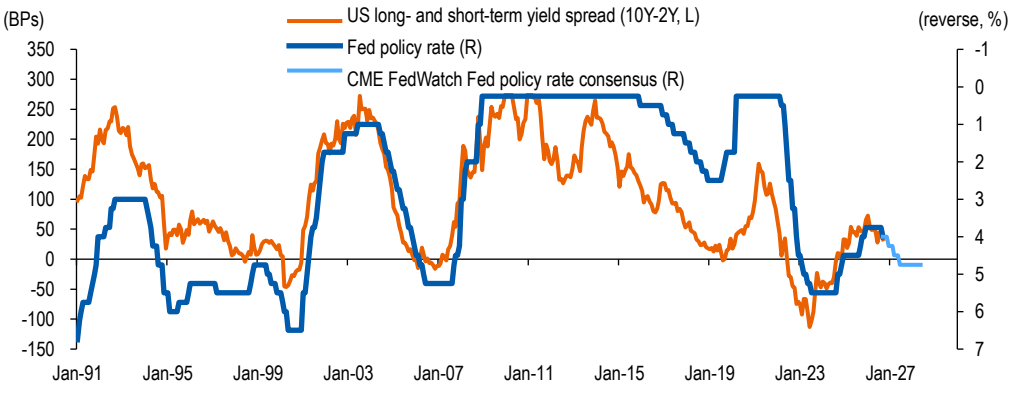

Source: LSEG Workspace, Yuanta Securities

**AI/semiconductor value chain-led capex supercycle continues, but high inflation/interest rates limit visibility and conviction**



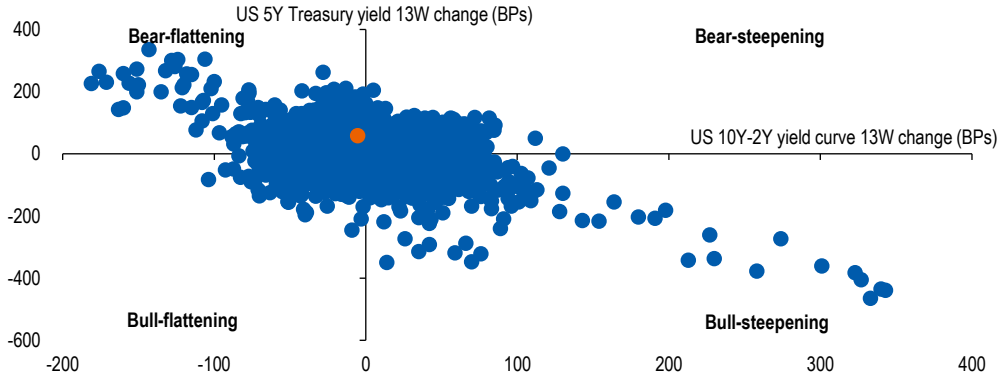

Source: LSEG Workspace, Yuanta Securities

**Yield curve to shift from flattening to steepening as fears of 4 hikes are capped to 2 or fewer**



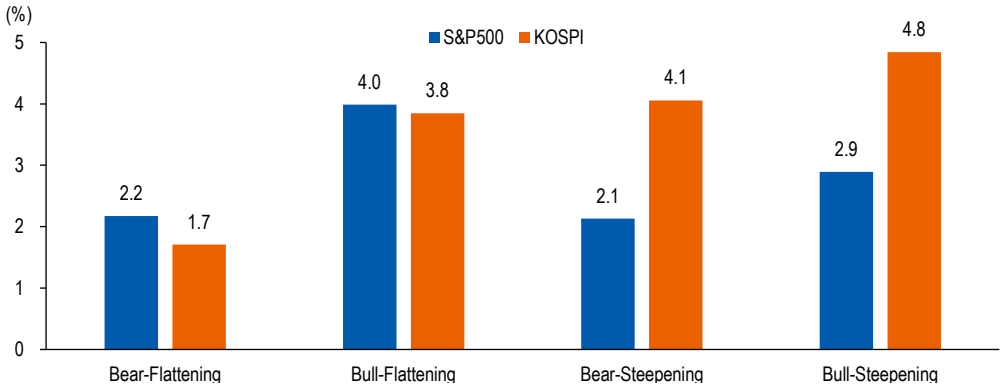

Source: LSEG Workspace, Yuanta Securities

**Confirmation of less/short-term hawkish Fed and market rate peak-out, prerequisite for shift to bull-steepening**



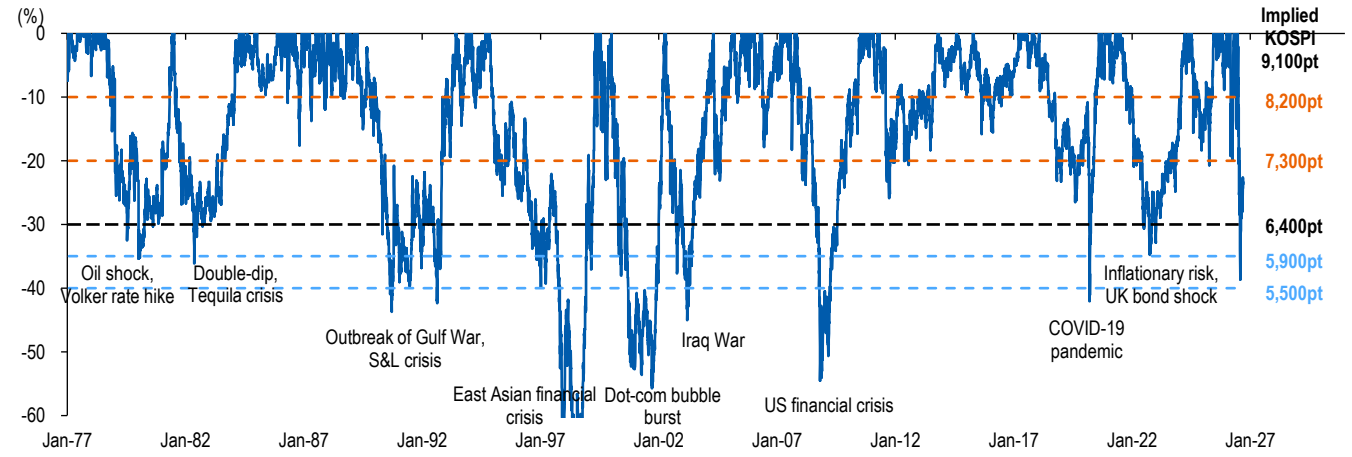

Note: orange market = current position as of the Sep 11 closing price. Source: LSEG Workspace, Yuanta Securities

**S&P500 and KOSPI 3M average investment return across US market rate regimes since 1980**




Source: LSEG Workspace, Yuanta Securities

**KOSPI MDD from 2-year highs: focus on range-bound stock-picking movement within MDD -30% to -20% across Sep-Oct**




Source: LSEG Workspace, Yuanta Securities

**Winner sector alternatives (earnings momentum + pricing power) during US market rate bear-flattening phase since 2005**

| Sector | Bull-steepening phase overall average (%) | | 3Q26 OP (%) | | 4Q26 OP (%) | | 2026 full-year OP (%) | | Pricing power (% YoY) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Relative return | Hit ratio | YoY | 1-mo chg | YoY | 1-mo chg | YoY | 1-mo chg | SPS | EPS | CPS |
| Shipbuilding | 0.8 | 53.3 | 152.7 | 0.8 | 55.8 | 0.6 | 81.0 | 5.3 | 22.1 | 106.7 | 32.0 |
| IT hardware | 0.7 | 44.0 | 76.4 | -9.2 | 98.8 | -6.3 | 119.5 | -7.9 | 100.6 | 1,404.2 | 412.0 |
| Steel | 0.6 | 52.0 | 23.1 | 2.3 | 5,291.0 | 2.5 | 56.5 | 0.8 | 30.2 | 279.3 | 73.0 |
| Cosmetics/Apparel/Toys | 0.6 | 57.3 | -12.4 | -0.2 | -6.0 | -4.2 | -11.7 | 0.4 | 196.9 | 538.5 | 432.0 |
| Semiconductors | 0.5 | 48.0 | 747.3 | 0.4 | 475.0 | 1.8 | 657.9 | 0.6 | 180.6 | 717.6 | 486.8 |
| Insurance | 0.4 | 49.3 | -16.2 | -1.9 | 30.2 | 3.3 | 3.0 | 1.4 | - | 58.0 | - |
| Chemicals | 0.3 | 50.7 | TTB | -11.0 | TTB | -2.6 | 634.0 | 0.4 | 40.5 | TTB | 46.4 |
| IT appliances | 0.2 | 53.3 | 394.2 | 2.5 | TTB | 2.1 | TTB | 3.0 | 43.3 | TTB | 83.8 |
| Energy | 0.2 | 54.7 | 133.4 | 12.3 | 386.4 | 13.0 | 562.9 | 14.3 | 30.7 | TTB | 320.7 |
| Consumer staples | 0.1 | 52.0 | -31.7 | -4.9 | -8.3 | -3.6 | -13.3 | -0.4 | 56.0 | 294.9 | 117.5 |
| Nonferrous metals | 0.1 | 56.0 | 17.0 | -6.5 | -0.8 | -0.4 | 27.8 | -1.7 | 225.4 | 748.1 | 2,703.6 |
| Banks | 0.0 | 52.0 | 12.2 | 0.2 | 6.9 | 0.2 | 10.3 | 0.2 | -61.6 | 6.6 | -99.3 |
| Machinery | 0.0 | 49.3 | 27.0 | 7.9 | 71.1 | 7.6 | 49.7 | 4.1 | 29.6 | 135.5 | 97.9 |
| Construction/Building mtrls | -0.2 | 53.3 | 10.4 | 6.6 | TTB | 8.0 | 45.0 | 1.7 | -3.4 | 171.3 | 115.6 |
| Retail | -0.2 | 52.0 | 31.9 | -1.7 | 47.0 | 0.1 | 34.0 | -2.1 | 55.6 | 347.5 | 52.8 |
| Healthcare | -0.4 | 48.0 | 20.7 | 0.3 | 119.8 | -1.9 | 58.1 | 2.4 | 113.7 | 1,023.1 | 467.5 |
| Automobiles | -0.5 | 50.7 | 13.5 | 0.4 | 31.9 | 0.7 | -1.5 | 1.6 | 16.7 | 43.9 | 206.9 |
| Securities | -0.6 | 37.3 | -13.5 | -10.1 | -6.6 | 0.2 | 22.3 | 4.8 | 110.0 | 147.1 | - |
| Transportation | -0.7 | 44.0 | 77.6 | 5.7 | 42.0 | 3.1 | 16.5 | 11.6 | 18.2 | -6.3 | 28.1 |
| Trading cos/Capital goods | -0.7 | 45.3 | -9.4 | -2.5 | 15.1 | -0.2 | -0.6 | 3.5 | 32.4 | -1.3 | 49.4 |
| Hotel/Leisure services | -0.8 | 49.3 | 10.3 | -4.1 | 41.3 | -4.4 | 5.6 | -3.9 | 61.1 | 125.8 | 116.0 |
| Software | -0.9 | 48.0 | 2.8 | -5.1 | -0.5 | -2.7 | 11.3 | 0.8 | 212.6 | 320.7 | 238.6 |
| Telecom services | -0.9 | 41.3 | 84.5 | 0.6 | 86.2 | 0.4 | 18.0 | 1.5 | 4.8 | 42.2 | 22.5 |
| Utilities | -1.2 | 52.0 | -48.5 | -22.1 | -48.7 | -16.1 | -32.2 | -12.8 | 7.5 | -29.1 | -13.4 |
| Media/Education | -1.7 | 42.7 | 35.9 | 0.9 | 6.2 | 0.9 | 10.0 | 1.6 | 125.3 | 334.5 | 157.9 |
| Display | -1.7 | 36.0 | -15.4 | -2.5 | 55.1 | -0.2 | 9.0 | -3.5 | -3.4 | -51.9 | 67.3 |

Note: as of the Sep 11 closing price, TTB = turn to black
Source: LSEG Workspace, FnGuide Quantiwise, Yuanta Securities

**Winner stock alternatives (earnings momentum + pricing power) in US market rate bear-flattening phase since 2005**

| Company | Bear-flattening overall average (%) | | 3Q26 OP (%) | | 4Q26 OP (%) | | 2026 annual OP (%) | | Pricing power (% YoY) | | |
|---|---|---|---|---|---|---|---|---|---|---|---|
| | Relative return | Hit ratio | YoY | 1-mo chg | YoY | 1-mo chg | YoY | 1-mo chg | SPS | EPS | CPS |
| Isu Petasys | 5.5 | 53.5 | 64.5 | 7.1 | 89.5 | 12.6 | 70.7 | 6.8 | 44.8 | 66.8 | 81.0 |
| Samyang Foods | 5.1 | 52.1 | 43.4 | -0.3 | 38.3 | 0.7 | 40.0 | 0.0 | 33.6 | 45.6 | 109.7 |
| Celltrion | 4.9 | 54.9 | 68.8 | -0.1 | 23.5 | 0.2 | 58.8 | 0.1 | 37.3 | 59.4 | 202.4 |
| SEMCO | 3.7 | 53.5 | 129.4 | 1.2 | 163.6 | 2.3 | 113.2 | 1.1 | 26.8 | 119.6 | 80.3 |
| LG Innotek | 3.0 | 52.1 | 52.7 | 1.3 | 32.9 | -0.1 | 91.8 | 0.8 | 16.5 | 173.0 | 49.4 |
| LS Electric | 2.8 | 53.5 | 86.5 | 1.5 | 74.1 | -0.1 | 68.8 | 0.5 | 31.7 | 88.5 | 127.1 |
| Hyosung Heavy | 2.7 | 47.9 | 51.8 | 2.0 | 44.4 | 1.9 | 51.2 | 1.1 | 20.5 | 58.4 | 81.7 |
| Daeduck Electronics | 2.6 | 50.7 | 213.3 | -0.2 | 173.2 | 0.6 | 463.3 | 0.2 | 50.5 | 384.0 | 356.3 |
| SK Hynix | 2.6 | 53.5 | 588.0 | -0.6 | 360.9 | -0.8 | 461.9 | -0.5 | 257.0 | 493.5 | 410.7 |
| Kolmar Korea | 2.4 | 52.1 | 57.8 | 11.4 | 38.0 | 11.9 | 44.3 | 9.6 | 17.3 | 48.9 | 26.0 |
| Doosan Corp | 2.0 | 47.9 | 95.2 | 0.0 | 94.7 | 0.0 | 70.6 | 0.0 | 11.9 | 279.3 | 85.3 |
| Hanmi Semiconductor | 1.7 | 54.9 | 90.4 | 0.0 | 347.3 | 0.0 | 52.0 | 0.0 | 42.9 | 62.4 | 57.5 |
| ISC | 1.5 | 52.1 | 58.1 | 1.0 | 38.9 | 2.0 | 71.4 | 0.6 | 42.5 | 58.9 | 146.6 |
| Cosmax | 1.4 | 50.7 | 58.2 | 23.5 | 52.2 | 13.1 | 31.1 | 10.5 | 23.8 | 34.9 | 201.2 |
| Amorepacific | 1.2 | 50.7 | 28.8 | 1.0 | 137.8 | -0.2 | 44.3 | 0.4 | 11.1 | 58.0 | 8.7 |
| POSCO Holdings | 1.2 | 59.2 | 28.3 | -0.3 | 5,975.2 | -0.6 | 69.3 | -0.1 | 8.8 | 324.6 | 44.4 |
| Iljin Electric | 1.2 | 49.3 | 76.8 | 19.2 | 52.2 | 8.3 | 66.9 | 14.6 | 14.8 | 74.4 | 130.8 |
| GS | 1.1 | 52.1 | 41.6 | 24.7 | 26.6 | 15.2 | 76.8 | 20.8 | 13.8 | 188.7 | 79.9 |
| Alteogen | 1.1 | 52.1 | 147.2 | 0.0 | 493.0 | 0.0 | 195.9 | 19.8 | 133.3 | 123.1 | 145.6 |
| LS | 1.0 | 53.5 | 94.7 | 17.3 | 88.1 | 21.7 | 86.9 | 15.2 | 32.0 | 121.2 | 719.4 |
| Korea Zinc | 1.0 | 54.9 | 69.3 | 0.2 | 8.4 | 2.8 | 83.5 | 0.6 | 39.1 | 59.5 | TTB |
| LG U+ | 0.9 | 49.3 | 85.6 | 0.0 | 32.0 | 0.0 | 28.9 | 0.0 | 1.4 | 45.5 | 17.8 |
| Shinsegae | 0.9 | 47.9 | 82.0 | 1.5 | 42.9 | 0.3 | 64.7 | 1.8 | 7.4 | 692.4 | 4.7 |
| HD Hyundai Electric | 0.8 | 50.7 | 27.9 | -0.1 | 15.4 | 0.6 | 23.9 | 0.1 | 15.0 | 30.2 | 8.6 |
| Hanwha Aerospace | 0.8 | 57.7 | 39.6 | 0.0 | 78.1 | -0.1 | 50.5 | 0.5 | 15.7 | 55.9 | 6.0 |
| S-Oil | 0.8 | 54.9 | 364.2 | 10.9 | 211.9 | 17.1 | 1,776.3 | 6.4 | 23.3 | 1,618.6 | -0.7 |
| Tes | 0.6 | 53.5 | 243.9 | 10.4 | 128.9 | 8.8 | 81.1 | 3.1 | 39.4 | 94.0 | 49.2 |
| Nongshim | 0.3 | 47.9 | 14.2 | 7.0 | 31.8 | 9.1 | 26.3 | 7.0 | 6.9 | 22.4 | 25.8 |
| Samsung Electronics | 0.2 | 47.9 | 829.8 | -0.7 | 512.3 | -0.4 | 797.3 | 0.1 | 124.1 | 628.7 | 347.4 |
| Hyundai Mobis | 0.2 | 52.1 | 23.3 | 0.2 | 13.9 | -0.1 | 12.8 | 0.1 | 8.4 | 15.3 | 24.8 |

Note: as of Sep 10 close; stocks were selected through quantitative analysis and may differ from our official investment rating; TTB = turn to black
Source: LSEG Workspace, FnGuide Quantiwise, Yunata Securities

## Appendix: Important disclosures

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  **- Buy:** Expected to return between 15% and 30%
  **- Hold:** Expected to return between -15 and +15%
  **- Sell:** Expected to return -15% or less
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